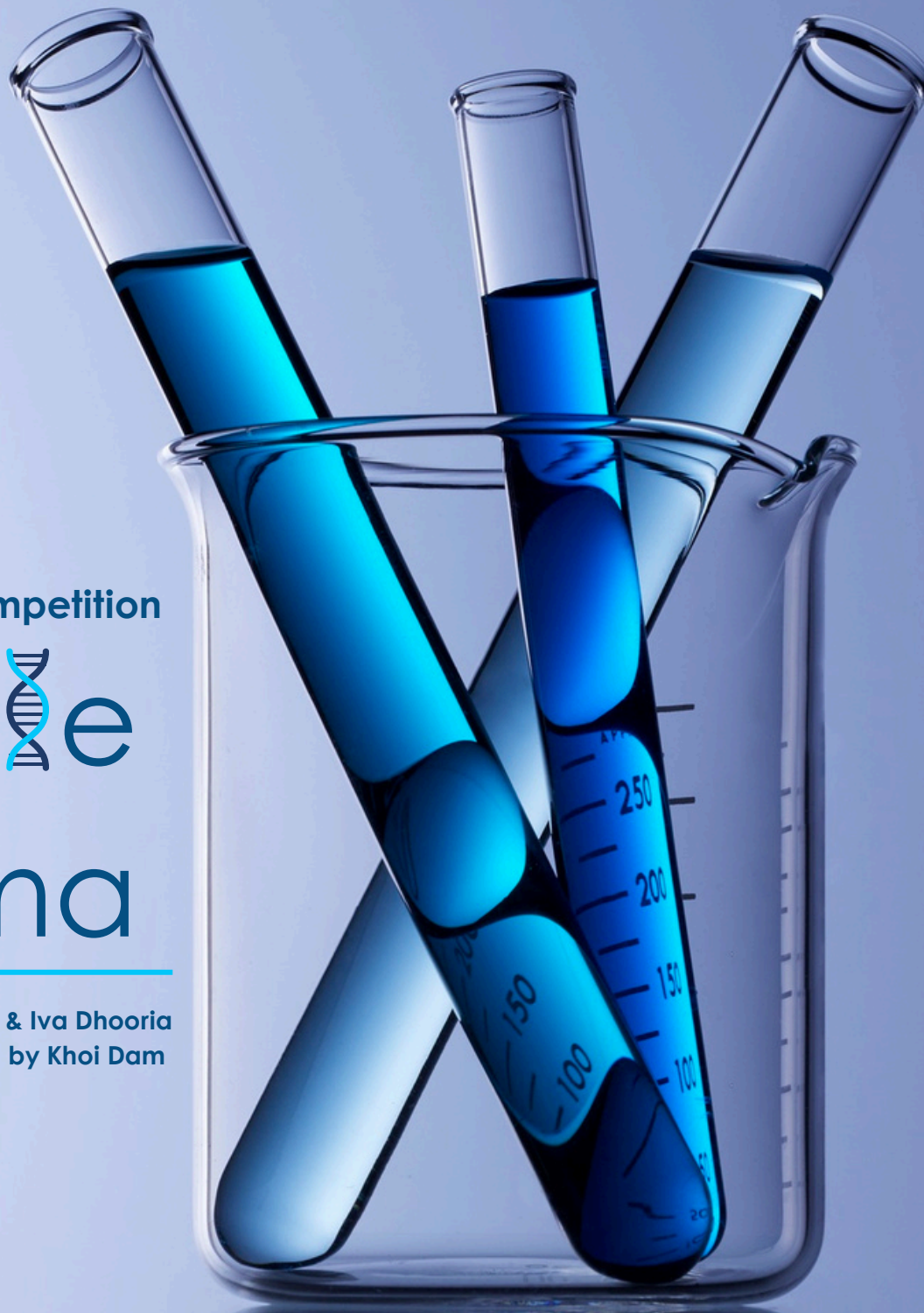




BEA 2026 Case Competition

Double Dilemma

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Background

Bios.ai is a pre-revenue, up-and-coming MedTech startup revolutionizing the preventive testing and genome profiling industry. They have a simplified mail-in model for testing with at-home kits for blood and saliva collection. These are then used to conduct extensive testing for exposure to life-threatening diseases, with their proprietary AI model achieving 81% accuracy in cancer screening across 50,000 cases. Additionally, this model can use the fluid samples in combination with collected DNA within the fluids to map out common risk profiles, early signs or risks of terminal illnesses, birth defects, and other long-term personal and familial health-related forecasting, making it key for early action, preventative care, and aiding in pharmaceutical treatment development.

ASID Pharmaceuticals is a legacy pharmaceutical that got its foundations in penicillin production back in the late 1940s. After dominating the medication industry with top-quality products for decades, ASID Pharmaceuticals has been slowly investing its capital in the research and development of cures for life-threatening and terminal diseases. In the past two years, they have focused on the cure for various types of cancer and are currently in the pursuit of technologies that can support this mission. However, their specialty lies in pharmaceutical product production rather than technological development.

With the AI investment bandwagon taking the global community by storm, legacy pharmaceuticals are trying to find ways to stay competitive. Riding this wave, ASID Pharmaceuticals has been evaluating merger and acquisition opportunities for its research and development segment. A hot contender in this consideration mix is Bios.ai, which has dominated news with its success stories and accuracy. While both companies can realize both financial and operational synergies from this, a few fundamental issues stand in their way.

Synergies

Walking into this merger, Bios brings in its own set of levers. With their cutting-edge and proprietary technology, they have full autonomy over the product development segment. Having invested the past decade in research and development, the company has reached a stage where they have

recruited and trained researchers in Biotechnology from around the world. This is one of their biggest assets, the human capital. Experts in the biotech industry are difficult to find and retain, so this will be an influential operational synergy touchpoint. Furthermore, Bios does not just have technical expertise; they have statistically significant results and accuracy numbers, which position them as a disruptive young company rather than a startup. This positioning is critical to the merger negotiation dynamic and also in the realization of financial synergies for both companies.

For ASID pharmaceuticals, the key synergies come from operational efficiencies. With an established industry network, supplier relationships, and access to investment capital, the company comes into the merger conversation with capital dominance. ASID Pharmaceuticals holds the wings that can enable Bios to accelerate its “go-to-market” timelines. The need for ASID comes into play with regard to the “AI race” and the predicted trajectory for the biotechnology industry. ASID needs a young AI-technology dominant player that can spearhead its research and development division to put it ahead of the curve when it comes to innovation. Additionally, a technology partner saves ASID the need to invest in developing a research and product team, lowering the capital intensity of the project and also the timeline of cost recovery. The synergies traded in this scenario are financial and operational, with the added benefit of future-proofing the legacy pharma.

Based on the synergies alone, both companies can significantly benefit from this transaction. However, a key part of merger consideration is alignment of company values and public relations.

Key Issues

Value Misalignment

While Bios is a young AI biotechnology company, it upholds the principle of ethics over all else. With the company slogan of “For care, with care,” the company strives to change the stigma around AI and how the right application of this technology can have a positive impact in saving lives. The company’s leadership consists of biotech researchers and doctors, who have dedicated

their lives to starting a wave of preventive testing in the world to avoid life-threatening diseases from being discovered at incurable stages.

ASID Pharmaceuticals, while being an early pioneer in the pharmaceutical industry, has slowly declined in its recognition as an ethics-first organization. While the company has continued to serve the public with its medicine production and diversified access networks, the new board of directors has been criticized for being too profit-centric and ignoring the urgency of affordability issues that this creates for patients. Starting on a foundation of innovation and serving the public, ASID has slowly lost sight of its original mission in the quest for higher financial returns.

Public Relations

Bios is a private biotech company that does not have a large public presence or recognition. However, the leadership team of the company comprises renowned doctors and researchers who are well respected in academia and biomedical research. When making a merger decision, Bios has to be careful in its choice of partner due to the burden of public introduction. The partnership will determine the position the company will hold in the eyes of the public, with the added stigma around artificial intelligence.

ASID Pharmaceuticals is a well-established name, but they have faced a decline in public trust and goodwill in recent years. The decline in favorable public opinion can be attributed to the profit-centric decision-making as well as messaging from the CEO, Tom, who has been leading the company for over a decade. Under his leadership, the company's reputation has come in the crosshairs due to his public opinion on polarizing issues concerning the pharmaceutical industry and politics. Recent incidents included sharing how some of the side effects of popular drugs were being overstated, saying how patients should accept the high drug prices, and openly siding with certain political allies. Additionally, he was recently proven to have falsified survey results regarding sales figures in a shareholder meeting. This has resulted in ASID losing its goodwill with loyal customers, but also weak ethical signaling.

Financing and Scale

With Bios being in the pharmaceutical industry, it requires significant capital, human resources, and PPE in order to scale, especially with their proprietary mail-in model. Adding the complexity of AI in medicine means Bios has a complex path forward when it comes to self-sustained growth. Though the company has a strong medical and ethical background, it is one of the first of its kind to grow in this AI and Medicine intersection, and the success is unproven.

Bios realizes that a partnership with ASID would provide a simplification of business processes required to scale, leveraging existing supply chain partners, distribution channels, and administrative resources. This path would prove simpler than pursuing organic growth methods and would provide Bios with a higher chance of succeeding in the industry.

Given the discussion around key considerations, Bios has a critical decision to make. They have two paths forward: one involves going through with the ASID merger, and the other involves navigating the industry without a brand partner.

Path A

The first path for Bios is to not go through with the merger with the ASID, and follow a path to raising Venture capital or debt-based financing. This path comes with the complexities of having undefined “go-to-market” timelines, contingent capital, potential interest expenses, and building up their reputation and relationship network from scratch. In exchange, Bios can keep its autonomy over its technology and run operations in alignment with its founding values. This path brings the tradeoff between risk and value alignment.

Path B

The second path for Bios is to go through with the merger with ASID. This path guarantees Bios immediate access to an established distribution network, supplier relationships, and interest-free capital. On the flipside, this would inform how Bios steps foot in the public eye, a potential loss of autonomy on its product production and/or sales cycles, and coming under levers of ASID brand values. This path brings the tradeoff between autonomy and scale.

[Appendix](#)

Appendix A: News Report/Release

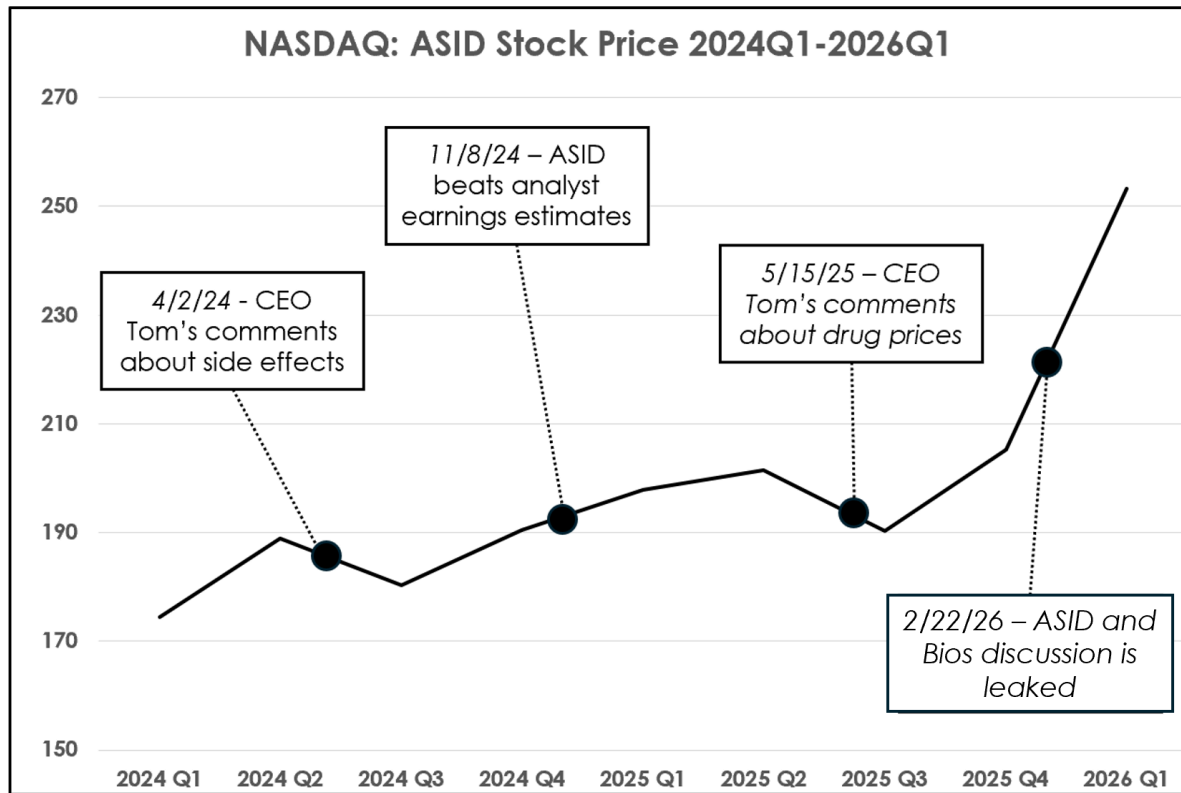
Bear News (excerpt drawn from *“Can Values Win Against Money? — Bios AI and ASID Pharmaceuticals”*)

In recent news from pharma, ASID Pharmaceuticals has its sights set on a merger with the up-and-coming cancer preventive testing technology player, Bios AI. While the small but mighty firm has held a reputation for putting “human lives first,” it seems like the goodwill might fall short in the quest for a faster go-to-market timeline. This merger presents the opportunity for massive scaling of the “preventive testing” wave in the medical industry. However, the power imbalance might suggest otherwise.

Bull News (excerpt drawn from *“Cashflow influx for medtech enthusiast investors as they anticipate Bios and ASID merger”*)

Excitement buzzes through Wall Street as enthusiastic investors place their bets on the impending merger between Bios AI and ASID Pharmaceuticals. The legacy pharma has been in the headlines lately after comments from the CEO. However, the stock seems to be on a rising tide after potential rumours around a merger with Bios, which would allow the pharma to take a big leap in the medtech space. The financial synergies of the two companies have investors buzzing with excitement about the upside potential.

Appendix B: Stock Price Fluctuation Graph



Appendix C: Predicted Synergies for Bios

Predicted Merger Synergies and Structure	
Synergy	Impact
Administrative, Marketing, Sales Costs	15% Reduction
Revenue Synergies	10% Increase
Time to Market	6-Months Quicker
Impact on Goodwill	25% Reduction
Board Seat Representation	2 out of 7 Seats

Appendix D: Logos for Bios AI and ASID Pharmaceuticals

Bios AI



ASID Pharmaceuticals



■ Is it for **Ethics** or **Value**?

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